THE 2026 STATE OF AGENCY FINANCES

WE GOT YOUR BOOKS

FIVE QUESTIONS OWNERS ASKED US IN **2026**

1 Is AI changing the fundamentals? P. 5

2 Are agencies growing? P. 9

3 What's a good profit margin? P. 11

4 Why isn't my profit in the bank? P. 13

5 What should I plan for 2027? P. 15

EVERYONE TALKED ABOUT **AI**.



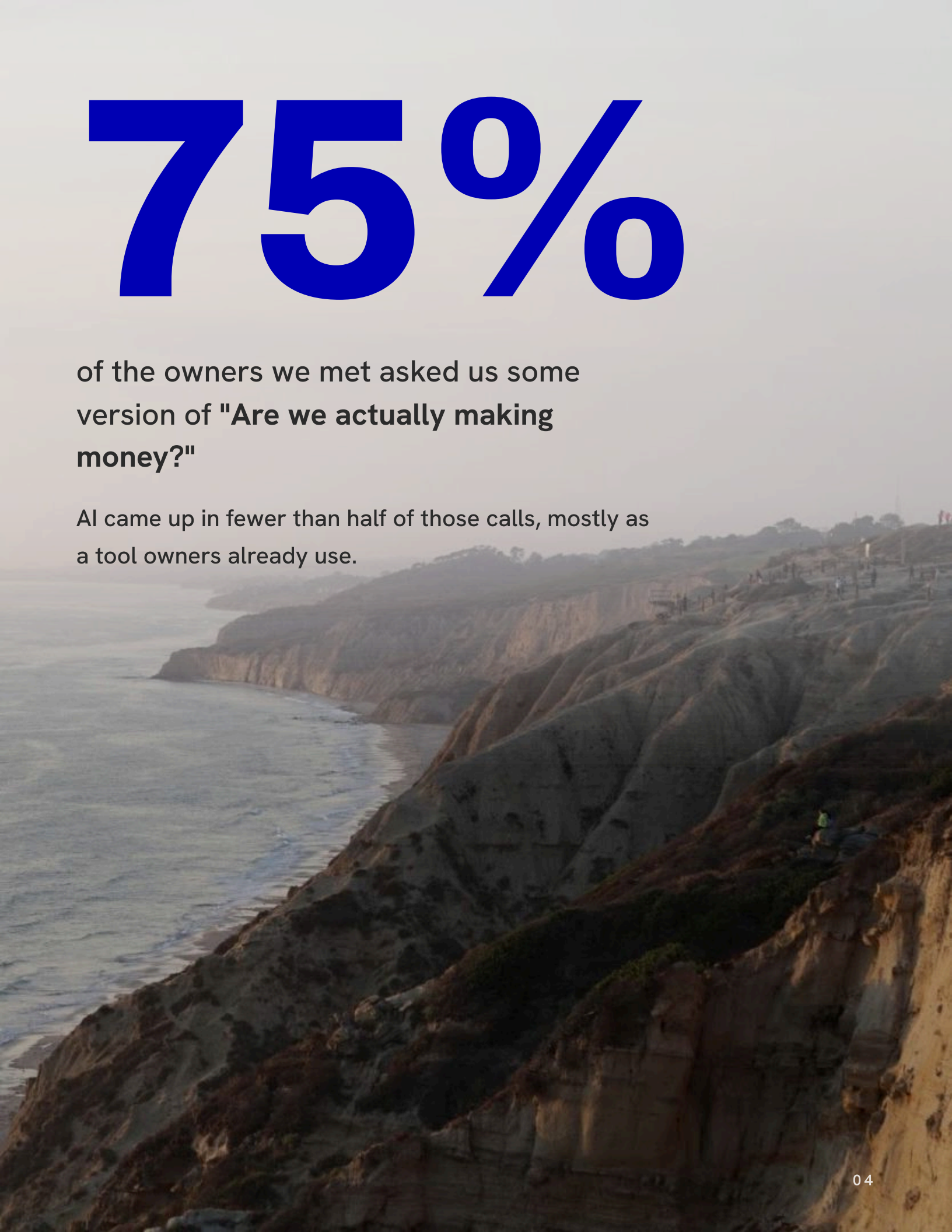
OWNERS ASKED ABOUT **MONEY**.

We manage $75M+ in annual agency cash flow, and we sit in the calls where owners decide what to do about it. We took the five questions we heard most in 2026 and answered each one from the books we close, next to the average agency.

75%

of the owners we met asked us some version of **"Are we actually making money?"**

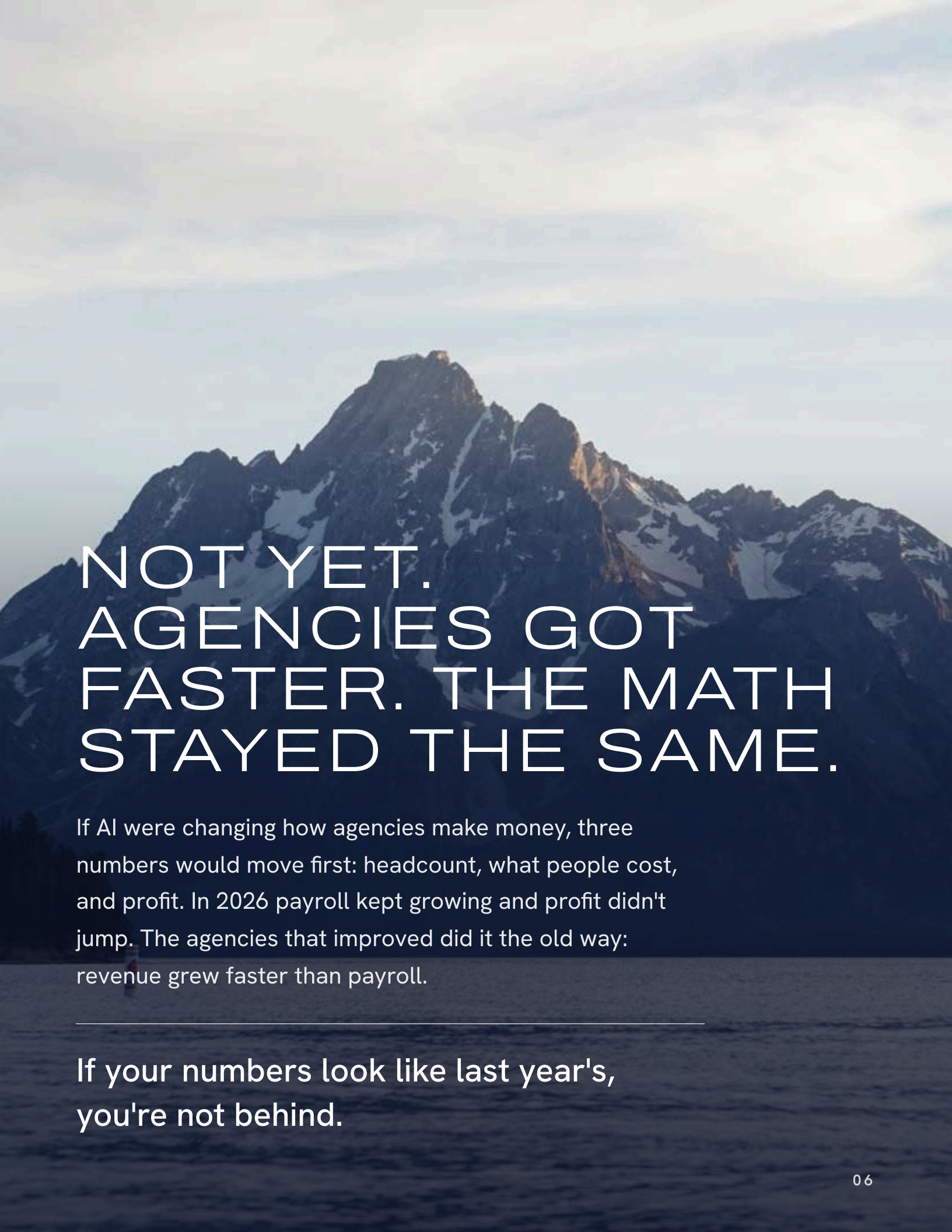
AI came up in fewer than half of those calls, mostly as a tool owners already use.



1

IS AI CHANGING THE FUNDAMENTALS?



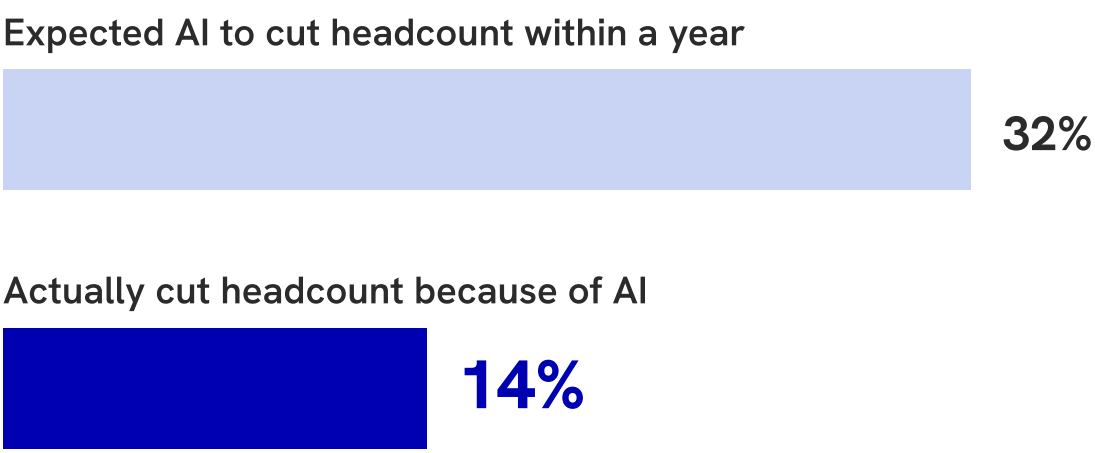


NOT YET. AGENCIES GOT FASTER. THE MATH STAYED THE SAME.

If AI were changing how agencies make money, three numbers would move first: headcount, what people cost, and profit. In 2026 payroll kept growing and profit didn't jump. The agencies that improved did it the old way: revenue grew faster than payroll.

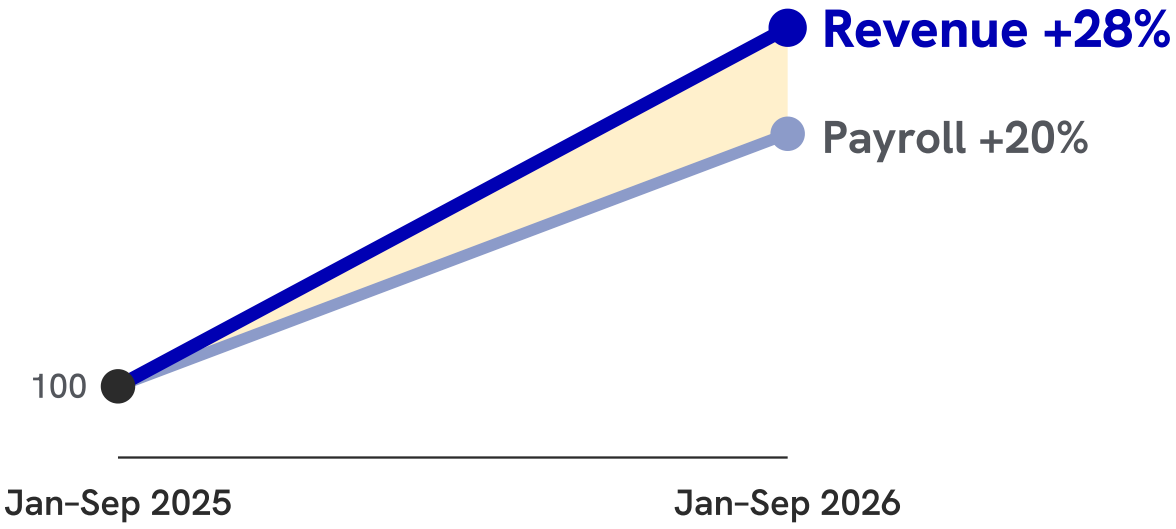
If your numbers look like last year's, you're not behind.

COMPANIES EXPECTED AI TO CUT JOBS. **FAR FEWER DID.**



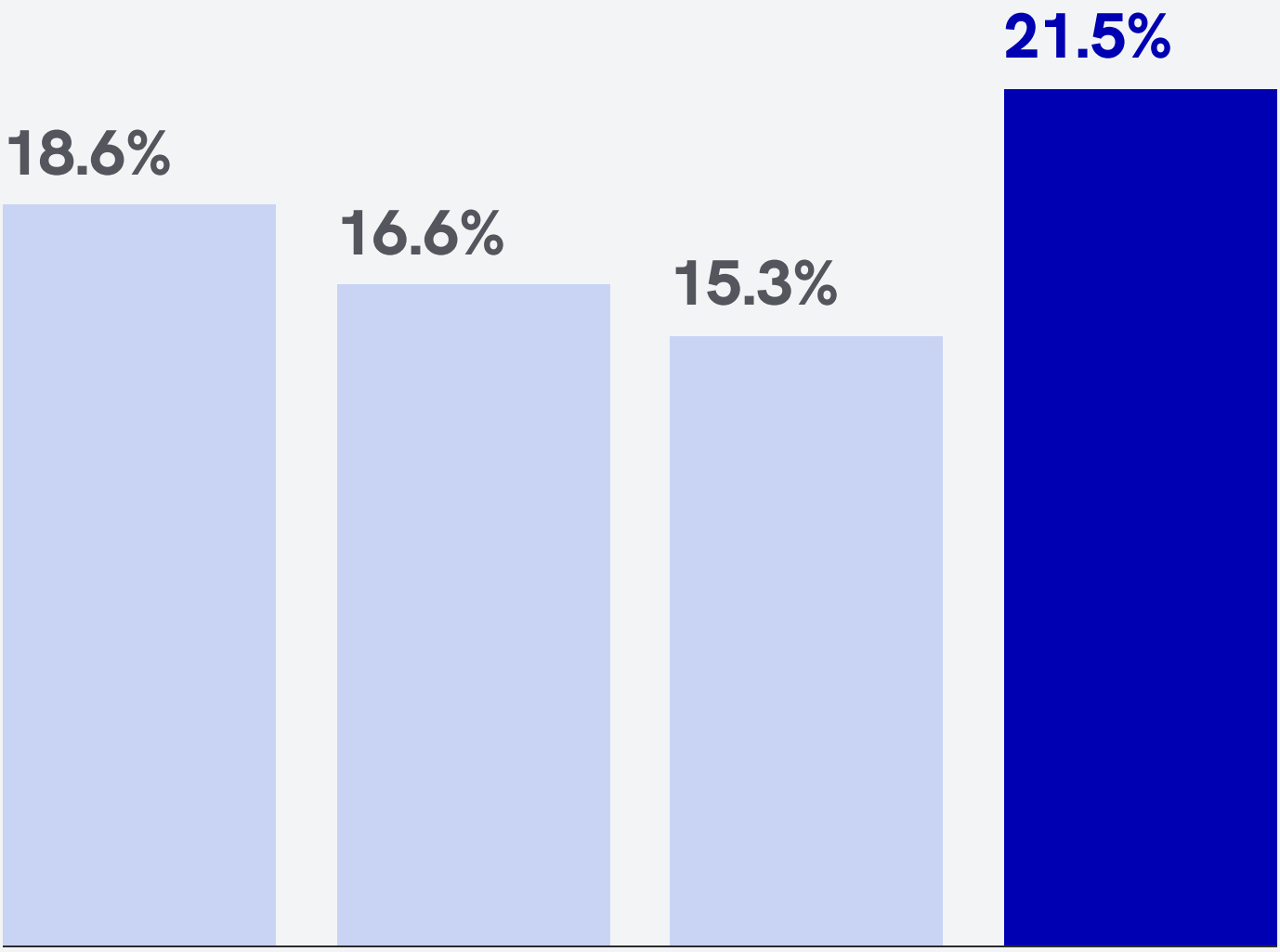
McKinsey, The State of AI in 2026. All industries.

PAYROLL GREW 20%. REVENUE **GREW FASTER.**



Combined revenue and people cost (wages, payroll taxes, benefits and contractors) Jan to Sep 2025 = 100. People cost per revenue dollar fell from 54¢ to 51¢. Client books, anonymized.

PROFIT DIDN'T JUMP. AT THE AVERAGE AGENCY IT SLIPPED. OURS **ROSE**.



The hours AI saves only reach profit if you bill them or they replace a cost. Price the work before the hours shrink.

Gould+Partners agency benchmarks, 2023 to 2025; client books, 2026 operating margin, anonymized.



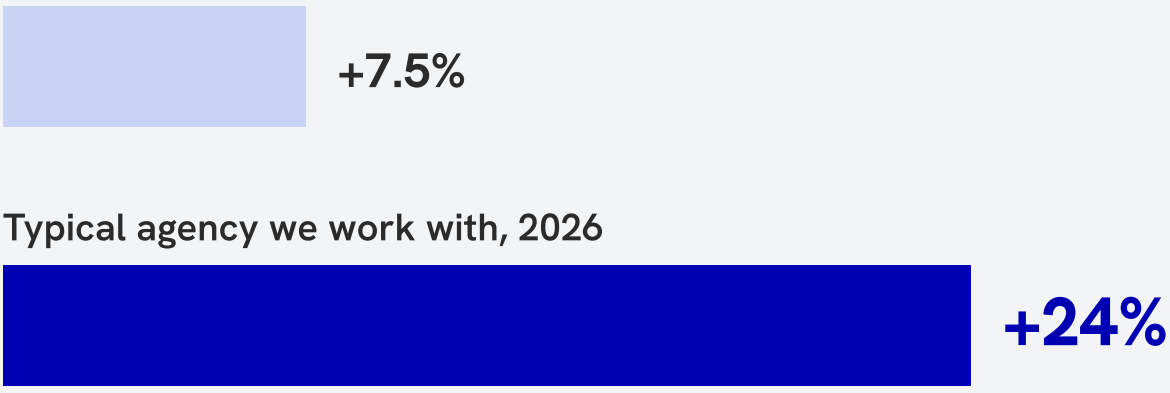
ARE AGENCIES GROWING?

2

Ours grew three times as fast as the average agency.

3x

THE TYPICAL AGENCY WE WORK WITH GREW **24%**. THE AVERAGE AGENCY GREW 7.5%.



More than 9 in 10 of the agencies we work with grew. Promethean Research, State of Digital Services 2026; client books Jan to Sep 2026 vs the same months of 2025.



WHAT'S A GOOD PROFIT MARGIN?

3

10 to 25 cents on the dollar, rising with size.

THE TYPICAL AGENCY WE WORK WITH KEEPS **21.5 CENTS** OF EVERY DOLLAR.

Average digital agency

13¢

Typical agency we work with



21.5¢

UNDER $600K
10–15¢

$600K–$1.2M
15–20¢

$1.2M+
18–25¢

Two in three of the agencies we work with beat the average agency.

Promethean Research 2026 (2025 net margin); client books 2026, operating margin, anonymized.



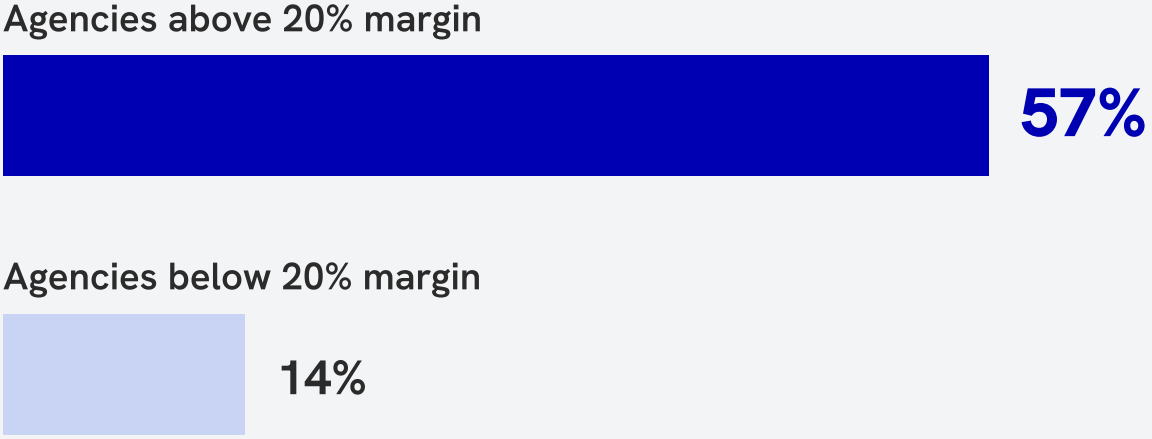
WHY ISN'T MY PROFIT IN THE BANK?

4

Margin builds the reserve. Owner pay decides whether it stays.

4X

PROFITABLE AGENCIES WERE 4X AS LIKELY TO HOLD **3 MONTHS OF CASH**.



Even so, nearly half of the profitable agencies held under 6 weeks. Where we traced it, the profit had gone out to the owners. Fill the reserve first, then pay yourself from what's above it.

Share holding 3+ months of costs in cash. Client books, 2026 operating margin and cash at Sep 30, anonymized.



WHAT SHOULD I PLAN FOR 2027?

5

Over half the 2027 plans we heard add people or pay.

OVER HALF OF 2027 PLANS ADD **PEOPLE OR PAY**. DO IT IN THIS ORDER.

1

Charge for the result, not the hours.

If AI makes the work faster, billing by the hour pays you less. Move to a set price per project or retainer.

2

Pick your profit goal.

Decide how many cents of every dollar you want to keep. Use the ranges for your size on page 12.

3

Save 3 months of costs.

Keep enough cash in the bank to cover 3 months of bills before you raise your own pay.

4

Then hire.

A new salary starts on day one. Hire once your profit goal and cash cushion have held for a full quarter.

HOW WE MADE **THIS**

WHERE THE NUMBERS COME FROM	The books of the marketing, creative, video and paid media agencies whose books we close every month. Together they move more than $75M a year.
THE TIME FRAME	2026 figures cover January through September. Growth compares those months with the same months of 2025.
WHAT "TYPICAL" MEANS	The median agency: half did better, half did worse.
PROFIT MARGIN	Operating margin: revenue minus the cost of delivering the work and running the business, before interest, depreciation and one-off income.
PEOPLE COST	Wages, payroll taxes, benefits and contractors.
CASH	Cash in the bank on September 30, 2026, measured against an average month of costs.
OUTSIDE FIGURES	Promethean Research, State of Digital Services 2026 (2025 results). Gould+Partners agency benchmarks, 2023 to 2025, covering communications agencies. McKinsey, The State of AI in 2026. Each covers different agencies and years, so read them as direction, not a precise match.
PRIVACY	No client names or dollar figures appear in this report.

BRING LAST MONTH'S P&L.

In 30 minutes we'll show you where you sit against these numbers, and the two or three things worth fixing first.

BOOK A CALL



Logan Smith
Founder, We Got Your Books. You'll talk to me, not a sales rep.

WE GOT YOUR BOOKS

WEGOTYOURBOOKS.ORG